

the coming environment. Indeed, the scramble for cash by desperate borrowers will ultimately push interest rates higher, not despite deflation, but because of it. Yet the worse the economy gets and the less inflation is in evidence, the more many analysts will be escalating their bullish opinions on the basis that it is the best possible environment for bondholders. Most will view bonds in a slowing economic environment with no inflation as a bargain and will stay invested in anticipation of the turnaround that must surely be "just around the corner." This rising optimism toward bonds, based on a false premise, will take place despite a falling market, one of the rarest of events.

THE OUTLOOK FOR VARIOUS CLASSES OF BONDS

The few analysts who have even considered the question of deflation and have looked up the performance of AAA-rated bonds in the 1930s see the picture of an investment that held its own through the crisis. They conclude, therefore, that "If deflation is likely, high quality bonds are the best long term investment." On this point I find widespread assurance and no dissent. However, it is hardly the certainty that people assume. Before answering the question of which bonds might be safe, it is crucial to understand that charts depicting AAA bond yields during the 1930s show only the action of those bonds that *stayed* AAA. Those whose ratings fell below AAA were *removed from the list*. That means that investors who bought certain AAA bonds in 1929 that subsequently were defaulted upon could have lost everything, and it would not have shown up in the index. The successful investors of that time, then, were not those who bought AAA bonds, but those who bought bonds that remained AAA. The unreliability of bond ratings, as discussed above, compounds the task of finding a safe bond in which to invest.

The only accurate conclusion with respect to investing in bonds in the coming environment, then, is that any bond that is rated AAA before the depression and remains AAA throughout the depression will be an acceptable long term investment. Even instruments such as these will experience temporary declines when investors are forced to raise cash, so they must be considered safe only for investors who will not be perturbed by a sharp temporary setback and who will not need to sell them during the crisis.

Now that we have narrowed the group of potential investors to beyond where I would want to be stuck, let's ask the question that matters most: How easy will it be to determine which bonds will